

1-C:

A budget line is a graphical representation of all possible combinations of two goods a consumer can purchase given a fixed income and the prices of those goods.

Changes in income cause a budget line to shift parallel to its original position, with an increase in income shifting it outward (to the right) and a decrease shifting it inward (to the left). This reflects a change in purchasing power, allowing consumers to buy more or less of both goods.

C would cause the shift in the budget line QR to ST as increase in consumers' money income would increase the purchasing power of rational consumers. This means they can afford more of both goods. Therefore, this makes the correct option.

Why are other options wrong?

A- a decrease in real income would shift the budget line inward not the outward towards ST.

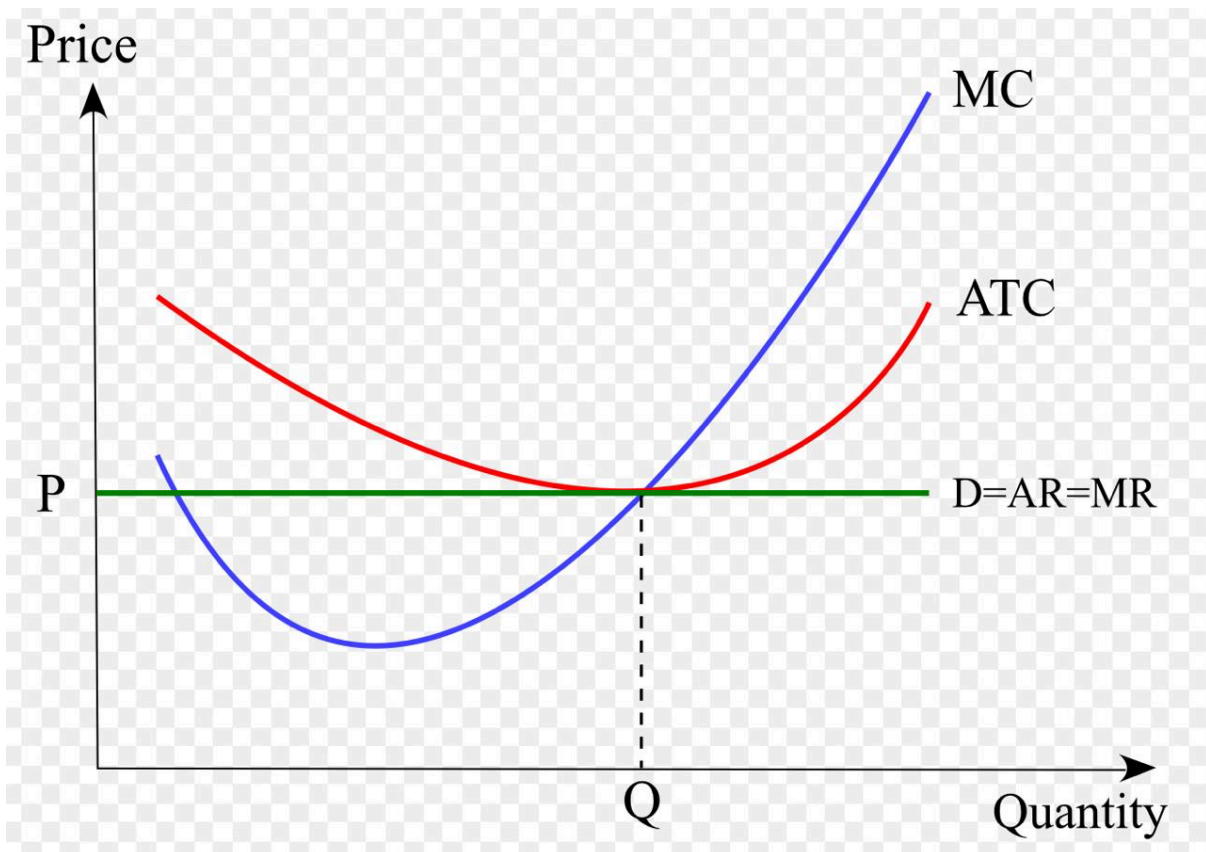
C- The quality of goods is assumed to remain constant when analyzing the effects of a shift in the budget line.

Therefore, when the budget line shifts, economists analyze how the consumer changes the quantity demanded of the same quality goods, not how the quality of the goods themselves changes.

D- an increase in prices of both goods would likely to reduce the purchasing power of a consumer and therefore the budget line would shift inwards instead of outward towards ST.

2-A:

In the long run, a perfectly competitive market achieves both productive efficiency (producing at the lowest possible average cost, $P = \min(ATC)$) and allocative efficiency (producing where price equals marginal cost, $P = MC$), maximizing societal welfare by allocating resources to their most valued uses with minimal waste, leading to firms earning only normal profits ($P=ATC$) as entry/exit adjusts supply. Therefore perfect competition being in equilibrium achieves the allocative efficiency in the long run.



Why are other options wrong?

B- this option refers to the better allocation of resources in an economy

C- Firms producing at the lowest Possible cost achieves the productive efficiency

D- monopolistic firms are allocatively inefficient in the long run as they charge higher prices than a marginal cost and produce less output than socially optimal creating a dead weight loss.

3-B:

From the given information, a consumer is in equilibrium and maximising their total utility at a point where $MU_x/P_x = MU_y/P_y$. Additionally, a rational consumer receiving a diminishing utility from the good y and therefore a rational consumer would switch its consumption expenditure towards good x more and buy less good y. Hence option B makes this option correct.

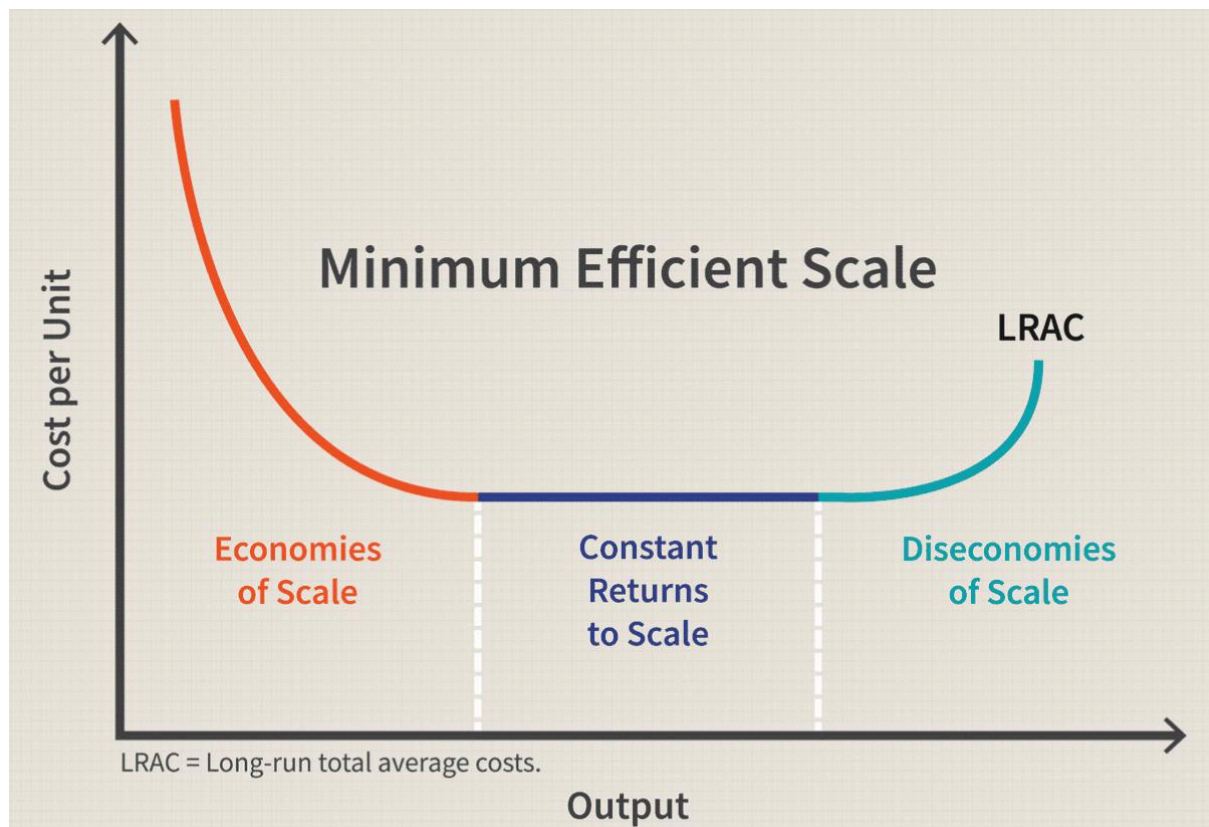
4-C:

Moral hazard is the risk that a party will take on more risk because they are protected from the consequences of that risk, often by insurance or a similar agreement. This can lead to riskier or more careless behavior, because the potential negative outcomes are borne by someone else. A company might

take on riskier investments if they know that another entity, like the government or a backer, will bail them out if things go wrong.

5-C:

Diseconomies of scale occur when a firm becomes so large that its average costs per unit start to increase as output grows, counteracting the benefits of economies of scale; this happens due to management complexity, poor communication, worker alienation, and coordination difficulties, leading to inefficiency and reduced flexibility.



Therefore option C is the correct one from the given diagrams as DEOS only occur in the long run and hence it eliminates the option A and B. While option D is the EOS that firms achieve in the long run as ATC per unit falls.

6-D:

Monopolistic competition is a type of market structure where many companies are present in an industry, and they produce similar but differentiated products. None of the companies enjoy a monopoly, and each company operates independently without regard to the actions of other companies. Hair salons and clothing are examples of industries with monopolistic competition.

Successful advertising boosts monopolistic competition by differentiating products, increasing demand (shifting the demand curve right), and reducing

price elasticity (making demand steeper), allowing firms to gain market share, command higher prices, and earn short-term profits despite easy entry. Therefore makes option D the correct one.

Why are other options wrong?

A- In monopolistic competition, there is freedom of entry and exit in this market structure that wouldn't allow firms to increase their sales despite being product differentiation.

B- there are relatively large number of firms in this market structure that collusion is not possible and therefore firms do it have take care of their rival firms

C- monopolistic competition is characterized by many firms and high competition, not a lack of it.

7-D:

Two manufacturing firms in the same industry, producing similar products if merging together, this is known as **horizontal integration**.

Options A, B, and C are all common and valid reasons for two firms in the same industry to merge.

A-merger increases the size of the combined firm, giving it greater market power to negotiate better prices with suppliers (bargaining power).

B- Technical economies of scale arise from using more efficient, large-scale production methods that a single smaller firm might not be able to afford.

C- Merging allows for the consolidation of management and administrative functions, leading to cost savings.

Option D is the least convincing reason. Merging two similar firms does not inherently reduce their overall dependence on raw material suppliers; they still need the same materials to produce their products. The merger might increase their bargaining power (as in option A), but it doesn't reduce the fundamental need for those materials or the reliance on the supply chain itself.

8-D:

When the marginal social benefit (MSB) is less than the marginal private benefit (MPB), it means there are negative consumption externalities, where consuming an extra unit provides less benefit to society overall than it does to the individual consumer, such as with smoking or excessive pollution, leading

to overproduction by the market because the true social cost isn't accounted for.

To improve the resources allocation of this negative externalities of overconsumption, the government could intervene in the market and impose the tax per unit. A tax per unit would increase the price level and reduce the quantity to the optimal level from $MPB=MPC$ to the $MSB=MSC$.

Why are other options wrong?

A- subsidy to the producers would likely increase the production of the drinks thus leading to over production and overconsumption by the consumers in a society. This would lead to misallocation of resources in a market.

B- increasing competition in a market would also encourage the production of the drinks in a market as each firm would compete with each other in production differentiation and more sales, leading to over allocation of resources.

C- imposing the maximum prices above the market equilibrium price would be ineffective and thus it will fall back to the original market price.

9-C:

The government failure from the banning of cigarettes in enclosed smoking would increase the litter of cigarettes outside offices and shops. This is because cigarettes are habit forming good and have an inelastic demand, the consumers would start consuming outdoors instead of reducing its consumption. As a result, government failure from this policy would incur.

Why are other options wrong?

A- fall on consumption of cigarettes from smokers wouldn't be immediate by imposing a ban. Also if it reduces, then it would be a successful impact from the ban.

B- non-smokers wouldn't be affected from this ban

D- if there is an increase in sales of cigarette substitutes then it would be successful with this regulation.

10-C:

Poverty trap is a situation in which there is little incentive for workers earning a low income to earn extra income, because it would result in having to either pay higher tax and/or losing some of their benefit payments.

Therefore, option C makes the correct choice.

Why are other options wrong?

A- An employment trap is a situation where workers feel stuck in a job providing little growth due to financial dependence, or are lured into exploitative schemes by false promises of good jobs, often involving upfront payments for useless training or products, hindering actual career progression and financial well-being.

B- liquidity trap is an economic situation where low interest rates fail to stimulate the economy because consumers and businesses hoard cash instead of spending or investing. This occurs when interest rates are near zero, making traditional monetary policy ineffective, and is often characterized by high savings, low inflation or deflation, and a lack of aggregate demand.

D- the unemployment trap refers to the situation where people who are unemployed have difficulty finding work because of structural barriers that make it difficult for them to secure employment, such as lack of job opportunities, lack of access to education and training, discrimination in the labor market.

11-D:



Property Rights

['prä-pər-tē 'rīts]

Laws specifying the theoretical and legal ownership of resources and how they can be used.

They prevent private owners from using resources to benefit others. This option is the correct answer because it describes something that is not an outcome of private property rights. In fact, private property rights generally encourage owners to use their resources to benefit others (through trade and the market system) in order to gain a profit or benefit for themselves. The other options (A, B, and C) are all recognized positive outcomes of a system with strong private property rights:

A and B are outcomes because owners have a vested interest in maintaining and increasing the value of their property, leading to careful management and conservation when future value is high.

C is an outcome because private property rights establish clear ownership, making it possible to hold individuals accountable for damages or misuse that negatively impact the property of others (e.g., legal liability).

12-C:

To find out the profit maximising level of employment, MCL should be equal to the MRP. Once we find out the equilibrium, wage could be determined from the AC of labour that would be below the minimum wage. Hence we have concluded that in a monopsony labour market, monopsony employers underpaid and underemployed the workers.

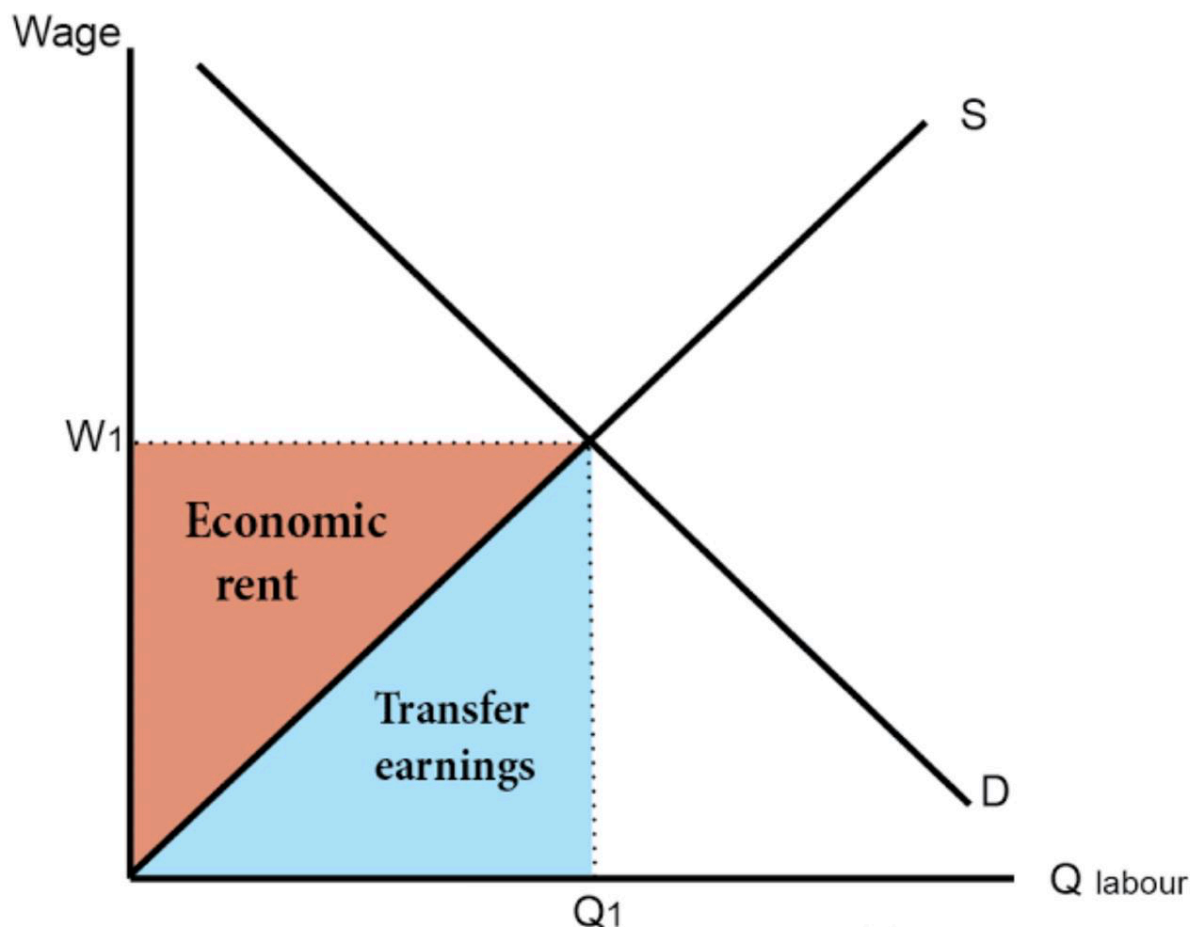
Once an effective minimum wage is imposed, that will increase the wage from W to W_1 and thus increase employment from E to E_1 . As a result unemployment will decrease.

13-C:

Labour productivity would affect the demand for labour or marginal revenue productivity. An increase in productivity leads to an increase in MRP, while a decrease in productivity causes a decrease in MRP. Therefore supply of labour would be unaffected from the Labour productivity.

14-C:

Transfer earnings are the minimum payment needed to keep a resource (like labor) in its current use (its opportunity cost), while economic rent is the extra payment above those transfer earnings, representing a surplus due to scarcity or unique skills, often seen in specialised jobs like athletes or surgeons.



In case of extreme elasticity, the transfer earnings would be the greatest in a perfectly elastic supply curve. While in case of a perfectly inelastic supply curve, the economic rent would be the greatest and no transfer earnings area. Therefore the area 2 and 3 would be the area of transfer earnings. Area 1 and 4 would be the area of economic rent.

15-D:

The national income multiplier is a key macroeconomic concept showing how an initial change in spending (like government investment or exports) causes a larger, multiplied final increase in a nation's total income (GDP), because one person's spending becomes another's income, creating a chain reaction of further spending, saving, and re-spending. It's calculated as the total change in GDP divided by the initial change in spending, with its size depending on factors like the Marginal Propensity to Consume (MPC) – the more people spend from new income, the bigger the multiplier.

Why are other options wrong?

A- Autonomous investment is a type of investment that is not dependent on economic conditions, such as changes in income or GDP.

B- Demand-pull inflation is an economic condition where prices rise because the overall demand for goods and services in an economy outpaces the available supply, often described as "too many dollars chasing too few goods"

C- The Accelerator Principle in economics states that changes in consumer demand lead to proportionally larger changes in investment in capital goods (machinery, factories) to meet that demand, amplifying economic fluctuations.

16-A:

Autonomous consumer spending is the essential spending on necessities (like food, rent, utilities) that consumers must make even with zero disposable income, financed by savings or borrowing, representing a baseline level of consumption independent of income changes, unlike "induced consumption" which rises with income. It's the starting point of the consumption function, reflecting basic survival needs and fixed commitments that don't disappear when income drops.

At a time of rising rate of inflation, consumers' real income starts to fall but their nominal income must be rising. This means when consumers keep maintaining their living standards, they must be spending in the economy regardless of their income. Hence, this indicates that income is independent of national income that could only be when the consumer spending is **autonomous**. Therefore the option A makes the correct choice.

Why are other options wrong?

B- savings are one of the withdrawals from an economy and therefore it is dependent on national income and it is induced expenditure.

C- Induced consumer spending tends to fall during times of high inflation primarily due to a reduction in purchasing power and increased economic uncertainty.

D- When consumers expect prices to continue rising, they recognize that the purchasing power of their saved money will decrease over time. This prospect incentivizes them to spend sooner rather than later to get more value for their money. Therefore an induced savings must have decreased rather than increased.

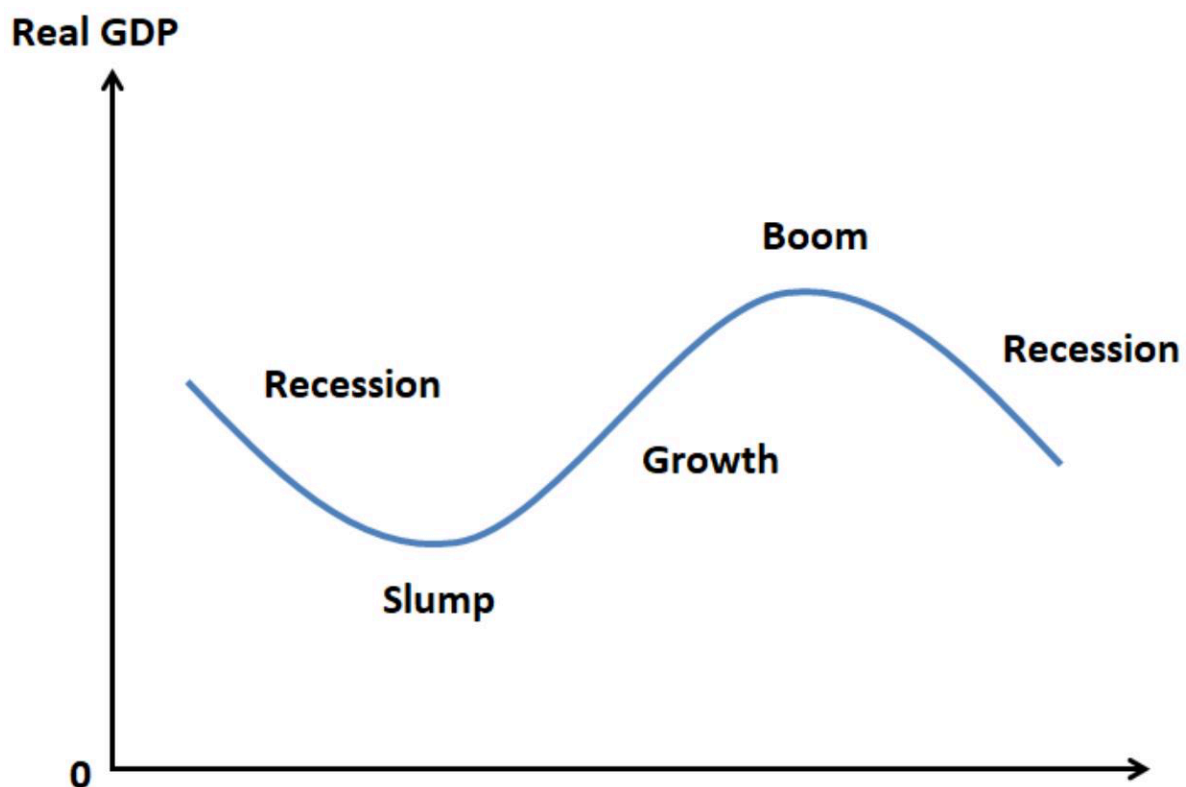
17-A:

Automatic stabilization refers to built-in government fiscal policies, like progressive taxes and unemployment benefits, that automatically adjust spending and tax collection to smooth out the business cycle, stimulating the economy during downturns (more benefits, less tax collected) and cooling it during booms (less benefits, more tax collected) without new legislative action. These mechanisms automatically counter economic fluctuations, creating larger budget deficits in recessions and surpluses in expansions to stabilize aggregate demand.

Means-tested benefits provide aid only to those proving financial need (low income/assets), while universal benefits are given to everyone regardless of income, like universal child benefits or some public pensions.

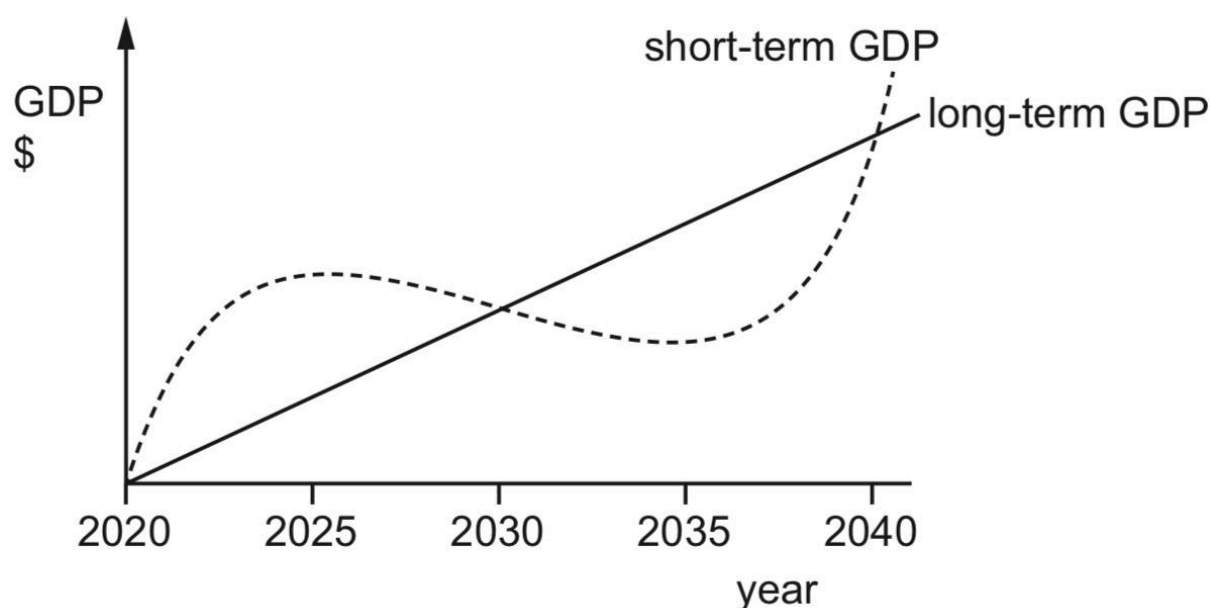
18-B:

A recession in economics is a significant, widespread downturn in economic activity, marked by falling production (GDP), rising unemployment, declining income, and reduced spending, usually lasting more than a few months, and is a normal but negative phase of the business cycle.



To find out the longest period of recession from the given diagram, we must know where recession is occurring below, that is when the short term GDP starts to decline or fall. From 2025 onwards, GDP keeps falling till 2035, that is 10 years of recession. Therefore option B becomes the correct option.

Option A and C is only the 5 years period which is shorter than 10 years therefore eliminated. Also, option D 2030 to 2040, growth starts to begin.



19-A:

Quantitative easing (QE) is a monetary policy where the central bank aims to increase the money supply and stimulate the economy. The process outlined in the diagram works as follows:

Gap 1: The central bank buys government assets from commercial banks and other financial institutions. This injects money into the financial system.

Gap 2: The increased demand for government bonds and the increase in money supply typically lead to a fall in short-term interest rates.

Gap 3: Lower interest rates reduce the cost of borrowing for businesses, which incentivizes them to increase investment. Therefore, investment rises. The increase in investment leads to a rise in real GDP.

Based on this, the correct words for gaps 1, 2, and 3 are 'buys', 'fall', and 'rises' respectively, which corresponds to option A in the table

20-C:

Hysteresis in the context of unemployment refers to temporary shocks having permanent effects on the economy's productive capacity, specifically the natural rate of unemployment. This often occurs because the skills of unemployed workers deteriorate or become obsolete over time, or they become discouraged and leave the workforce entirely.

- * A capital investment increases: This would likely reduce unemployment and is not a cause of hysteresis.
- * B fewer people are encouraged to save: This relates to consumption and savings behavior, not the structural cause of persistent unemployment after a shock.
- * C skills of unemployed workers become outdated: This directly describes a key mechanism of hysteresis, where the long-term unemployed become less employable, even when economic conditions improve.
- * D the money supply increases: This is a monetary policy action that affects aggregate demand and inflation, not the underlying structural issue of skill loss causing hysteresis.

21-D:

The central bank's action of raising interest rates is a form of contractionary monetary policy. This measure aims to reduce borrowing and spending in the economy, which helps to control an increasing rate of inflation. Therefore, the primary macroeconomic policy objective being targeted is to achieve stable prices

Why are the other options not correct?

- * (A) a surplus on the current account of the balance of payments: Raising interest rates can attract foreign investment, increasing demand for the domestic currency and causing it to appreciate. A stronger currency makes exports more expensive and imports cheaper, which tends to worsen the current account balance, potentially leading to a deficit rather than a surplus.
- * (B) faster economic growth: Raising interest rates increases the cost of borrowing for businesses and consumers, which discourages investment and spending. This action is designed to slow down economic activity and reduce demand to curb inflation, which typically leads to slower economic growth or even a recession.
- * (C) full employment: As the economy slows down due to higher interest rates, businesses may cut back on production and investment, potentially leading to increased unemployment or a weakened labor market. Full employment is often a goal that is in tension with strict inflation control measures

22-A:

Devaluation of a currency makes exports cheaper and imports more expensive. This leads to a trade surplus, which increases aggregate demand.

This increase in demand leads to demand-pull inflation, making it difficult to keep the inflation rate below 3%.

* (B) if interest rates are increased to control effective demand: Increasing interest rates reduces borrowing and spending, which decreases effective demand and helps control inflation. This would make it easier to achieve the target.

* (C) if the government increases its tax revenue: Increasing tax revenue reduces disposable income and spending, which decreases effective demand and helps control inflation. This would make it easier to achieve the target.

* (D) if wage increases are kept in line with productivity: Wage increases in line with productivity do not increase the cost per unit of output, thus preventing cost-push inflation. This would make it easier to achieve the target.

23-A:

When a central bank decreases interest rates, it is an expansionary monetary policy.

Internal value of the currency: A decrease in interest rates makes borrowing cheaper and saving less attractive, which typically stimulates domestic spending and investment, leading to an increase in aggregate demand. This can lead to demand-pull inflation, causing the purchasing power of the currency to fall.

External value of the currency: Lower interest rates make the country's assets less attractive to foreign investors seeking high returns. This leads to a decrease in demand for the domestic currency in the foreign exchange market and an increase in the supply of the domestic currency as investors move funds abroad, causing the external value (exchange rate) of the currency to fall.

24-D:

An increase in national debt means the government is borrowing more money, typically by selling government bonds. This action has several economic consequences:

* Why (D) is correct: When the government borrows heavily, it increases the demand for loanable funds in financial markets. This increased demand drives up interest rates. Higher interest rates make it more expensive for private businesses to borrow money for investment (e.g., building new factories,

buying new equipment), which "crowds out" private sector investment. This is a widely recognized consequence of increased government borrowing.

* Why (A) is incorrect: The creation of additional money (monetary expansion) is a policy typically controlled by a country's central bank, not a direct consequence of the national debt itself. While a central bank might buy government debt in some circumstances (quantitative easing), an increase in debt does not automatically or necessarily lead to the creation of money.

* Why (B) is incorrect: A current account deficit on the balance of payments relates more directly to a country's trade balance (imports vs. exports) and international capital flows. While there can be indirect links (e.g., higher interest rates attract foreign capital, which can affect exchange rates and the trade balance), a current account deficit is not the most likely or direct consequence of an increase in national debt compared to the direct impact on domestic interest rates and investment.

* Why (C) is incorrect: A surplus in the government's budget means that tax revenue exceeds government spending. An increase in national debt, however, implies that the government is running a deficit (spending more than it earns in revenue), which is the opposite of a budget surplus.

25-B:

Increasing trade union power helps reduce income inequality by giving workers greater bargaining power to negotiate for higher wages and better working conditions. This can help close the wage gap between high-income earners (such as executives) and low-to-middle-income workers.

The other options would likely increase income inequality:

A to increase indirect taxes: Indirect taxes (like sales tax or VAT) are generally regressive, meaning they take a larger percentage of income from low-income earners than from high-income earners. This widens the inequality gap.

C to increase the rate of interest: Higher interest rates primarily benefit those with significant savings or investments, who are typically wealthier. It can also increase the cost of borrowing for everyone, disproportionately affecting those with lower incomes who rely more on credit.

D to reduce welfare payments: Welfare payments are a primary tool for redistributing income to the less fortunate. Reducing them directly increases inequality by decreasing the income of the poorest members of society.

26-A:

Currency is significantly below its purchasing power parity (PPP) under a fixed exchange rate. This means: The currency is undervalued and it is artificially kept low. If it switches to a floating rate, the currency would appreciate toward PPP.

If undervalued currency appreciates:

- Imports become cheaper.
- Export competitiveness falls.
- Inflationary pressure decreases.

Therefore the objective of low inflation or price stability can be maintained and hence makes option A the correct one.

Why are other options wrong?

B- Appreciation would reduce the demand of exports due to relatively higher prices and increase the demand of imports. This leads to a trade deficit in the current account. As a consequence, AD continues to fall leading to high levels of unemployment instead of low levels of unemployment.

C- the deficit in the current account would likely be increased during appreciation. As it encourages firms and consumers to import more at lower prices than consuming domestic goods at a higher price. Therefore deficit reduction is unlikely

D- Appreciation would also lead to slow economic growth due to lower exports revenue and higher import expenditure. Thus reducing the overall income and consumption expenditure into the economy, leading to an increased output gap.

27-B:

A current account deficit occurs when a country's imports of goods and services are greater than its exports. To correct this, policies should aim to increase exports and/or decrease imports.

(B) decreasing government regulations: This is a supply-side policy. Reducing regulations can lower business costs, increase efficiency, and make domestic goods and services (including exports) more internationally competitive. This would help to improve the current account balance.

(A) decreasing direct taxes: This increases consumers' disposable income, leading to an increase in overall spending (aggregate demand). This increased spending is likely to include more imports, which would worsen the current account deficit.

(C) increasing exchange rates: A higher exchange rate (currency appreciation) makes a country's exports more expensive for foreigners and imports cheaper for domestic residents. This would likely worsen the current account deficit.

(D) increasing government spending: This is an expansionary fiscal policy that increases aggregate demand. Similar to decreasing direct taxes, this can lead to increased demand for imports and worsen the current account deficit

28-A:

* Real GDP per capita is calculated as real GDP divided by the population. If the population falls, real GDP per capita will increase, assuming real GDP remains the same or increases.

* The Human Development Index (HDI) is a composite index that measures average achievement in three basic dimensions of human development: a long and healthy life, knowledge (measured by years of education), and a decent standard of living (measured by GNI per capita).

* An increase in the number of years of education directly contributes to an increase in the HDI.

* A fall in the rate of inflation generally creates a more stable economic environment, which supports sustainable economic growth and may contribute to an increase in the standard of living component of the HDI, as well as real GDP per capita.

* Therefore, the combination of falling population, falling rate of inflation, and rising number of years of education (Option A) would lead to an increase in both real GDP per capita and the Human Development Index

29-A:

The 'infant industry' argument posits that new domestic industries need protection from established international competitors until they mature and achieve economies of scale. This protection typically involves trade barriers like tariffs or quotas to restrict imports.

A condition that requires a country to allow free trade would directly conflict with this argument, as it prevents the government from implementing the necessary protectionist measures for its developing industries.

30-D:

Before the customs union, a tariff is in place, leading to a domestic price of P_1 . At this price, the domestic demand is at point N (quantity ON) and domestic supply is at point L (quantity OL). Imports fill the gap between domestic demand and supply, which is the quantity LN. This length is equivalent to the length LM.

After the customs union is formed, the tariff is removed, and the price falls to P_2 . At this lower price, domestic demand increases to point N (quantity ON) and domestic supply decreases to point K (quantity OK). The new, larger quantity of imports is the gap between the new domestic demand and supply, which is the quantity KN.